Name:
Score: 32 / 35 points (91%)

Chapter 24 Mankiw/Taylor, Economics

True/False
Indicate whether the sentence or statement is true or false.

T 1. An increase in the price of imported cameras is captured by the CPI but not by the GDP deflator.

ANSWER: T
POINTS: 1 / 1

F 2. An increase in the price of helicopters purchased by the UK armed forces is captured by the CPI.

ANSWER: F
POINTS: 1 / 1

F 3. Because an increase in petrol prices causes consumers to ride their bikes more and drive their cars less, the CPI tends to underestimate the cost of living.

ANSWER: F
POINTS: 1 / 1

F 4. An increase in the price of diamonds will have a greater impact on the CPI than an equal percentage increase in the price of food because diamonds are so much more expensive.

ANSWER: F
POINTS: 1 / 1

T 5. The "base year" in a price index is the benchmark year against which other years are compared.

ANSWER: T
POINTS: 1 / 1

F 6. If the CPI rises at 5 percent per year, then every individual in the country needs exactly a 5 percent increase in their income for their standard of living to remain constant.

ANSWER: F
POINTS: 1 / 1

F 7. The producer price index (PPI) is constructed to measure the change in price of total production.

ANSWER: F
POINTS: 1 / 1

T 8. If the Office of National Statistics fails to recognize that recently produced cars can be driven for many more miles than older models, then the CPI tends to overestimate the cost of living.

ANSWER: T
POINTS: 1 / 1

T 9. If your wage rises from €500 per week to €625 per week while the CPI rises from 112 to 121, you should feel an increase in your standard of living.

ANSWER: T
POINTS: 1 / 1

__T__ 10. The largest category of goods and services in the CPI is food and non-alcoholic beverages.

ANSWER: F
POINTS: 0 / 1

__F__ 11. It is impossible for real interest rates to be negative.

ANSWER: F
POINTS: 1 / 1

__T__ 12. If the nominal interest rate is 12 percent and the rate of inflation is 7 percent, then the real rate of interest is 5 percent.

ANSWER: T
POINTS: 1 / 1

__T__ 13. If lenders demand a real rate of return of 4 percent and they expect inflation to be 5 percent, then they should charge 9 percent interest when they extend loans.

ANSWER: T
POINTS: 1 / 1

__F__ 14. If borrowers and lenders agree on a nominal interest rate and inflation turns out to be greater than they had anticipated, lenders will gain at the expense of borrowers.

ANSWER: F
POINTS: 1 / 1

__T__ 15. If workers and firms agree on an increase in wages based on their expectations of inflation and inflation turns out to be less than they expected, workers will gain at the expense of firms.

ANSWER: T
POINTS: 1 / 1

Multiple Choice
Identify the letter of the choice that best completes the statement or answers the question.

__A__ 16. Inflation can be measured by all of the following except the
a. All of these answers are used to measure inflation.
b. consumer price index.
c. producer price index.
d. GDP deflator.
e. finished goods price index.

ANSWER: E
POINTS: 0 / 1

___ 17. The CPI will be most influenced by a 10 percent increase in the price of which of the following consumption categories?
a. Clothing and footwear. See Figure 24.1 in the textbook.
b. Furniture, household equipment and maintenance. See Figure 24.1 in the textbook.
c. Transport. See Figure 24.1 in the textbook.
d. Food and non-alcoholic beverages. See Figure 24.1 in the textbook.
e. All of these answers would produce the same impact. See Figure 24.1 in the textbook.

ANSWER: C
POINTS: 0 / 1

A 18. In 1989, the CPI was 124.0. In 1990, it was 130.7. What was the rate of inflation over this period?
a. 5.4 percent
b. 30.7 percent
c. You can't tell without knowing the base year.
d. 5.1 percent
e. 6.7 percent

ANSWER: A
POINTS: 1 / 1

A 19. Which of the following would probably cause the CPI to rise more than the GDP deflator in the UK?
a. An increase in the price of BMWs produced in Germany and sold in the UK.
b. An increase in the price of Peugeots produced in the UK.
c. An increase in the price of helicopters purchased by the Royal Navy.
d. An increase in the price of domestically produced armoured vehicles sold exclusively to India.

ANSWER: A
POINTS: 1 / 1

B 20.
The "basket" on which the CPI is based is composed of
a. consumer production.
b. products purchased by the typical consumer.
c. raw materials purchased by firms.
d. total current production.
e. none of these answers.

ANSWER: B
POINTS: 1 / 1

B 21. If there is an increase in the price of apples which causes consumers to purchase fewer kilograms of apples and more kilograms of oranges, the CPI will suffer from
a. none of these answers.
b. substitution bias.
c. base year bias.
d. bias due to unmeasured quality change.
e. bias due to the introduction of new goods.

ANSWER: B
POINTS: 1 / 1

C 22. Figure 24-1

The table shows the prices and the quantities consumed in Carnivore Country. The base year is 2000. This means that 2000 is the year the typical basket was determined so the quantities consumed in 2000 are the only quantities needed to calculate the CPI in each year.

Year	Price of beef	Quantity of beef	Price of pork	Quantity of pork
2000	€2.00	100	€1.00	100
2001	2.50	90	0.90	120
2002	2.75	105	1.00	130

Refer to Figure 24-1. What is the value of the basket in the base year?

a. €459.25
b. €418.75
c. €300
d. none of these answers
e. €333

ANSWER: C
POINTS: 1 / 1

B 23. Figure 24-1

The table shows the prices and the quantities consumed in Carnivore Country. The base year is 2000. This means that 2000 is the year the typical basket was determined so the quantities consumed in 2000 are the only quantities needed to calculate the CPI in each year.

Year	Price of beef	Quantity of beef	Price of pork	Quantity of pork
2000	€2.00	100	€1.00	100
2001	2.50	90	0.90	120
2002	2.75	105	1.00	130

Refer to Figure 24-1. What are the values of the CPI in 2000, 2001, and 2002, respectively?
a. 83.5, 94.2, 100
b. 100, 113.3, 125
c. none of these answers
d. 100, 111, 139.6
e. 100, 109.2, 116

ANSWER: B
POINTS: 1 / 1

B 24. Figure 24-1

The table shows the prices and the quantities consumed in Carnivore Country. The base year is 2000. This means that 2000 is the year the typical basket was determined so the quantities consumed in 2000 are the only quantities needed to calculate the CPI in each year.

Year	Price of beef	Quantity of beef	Price of pork	Quantity of pork
2000	€2.00	100	€1.00	100
2001	2.50	90	0.90	120
2002	2.75	105	1.00	130

Refer to Figure 24-1. What is the inflation rate for 2001?
a. 0 percent
b. 13.3 percent
c. 11 percent
d. 9.2 percent
e. none of these answers

ANSWER: B
POINTS: 1 / 1

A 25. Figure 24-1

The table shows the prices and the quantities consumed in Carnivore Country. The base year is 2000. This means that 2000 is the year the typical basket was determined so the quantities consumed in 2000 are the only quantities needed to calculate the CPI in each year.

Year	Price of beef	Quantity of beef	Price of pork	Quantity of pork
2000	€2.00	100	€1.00	100
2001	2.50	90	0.90	120
2002	2.75	105	1.00	130

Refer to Figure 24-1. What is the inflation rate for 2002?
a. 10.3 percent
b. none of these answers
c. 11 percent
d. 13.3 percent
e. 0 percent

ANSWER: A
POINTS: 1 / 1

E 26. Figure 24-1

The table shows the prices and the quantities consumed in Carnivore Country. The base year is 2000. This means that 2000 is the year the typical basket was determined so the quantities consumed in 2000 are the only quantities needed to calculate the CPI in each year.

Year	Price of beef	Quantity of beef	Price of pork	Quantity of pork
2000	€2.00	100	€1.00	100
2001	2.50	90	0.90	120
2002	2.75	105	1.00	130

Refer to Figure 24-1. The table shows that the 2001 inflation rate is biased upward because of
a. base year bias.
b. bias due to the introduction of new goods.
c. none of these answers.
d. bias due to unmeasured quality change.
e. substitution bias.

ANSWER: E
POINTS: 1 / 1

A 27. Figure 24-1

The table shows the prices and the quantities consumed in Carnivore Country. The base year is 2000. This means that 2000 is the year the typical basket was determined so the quantities consumed in 2000 are the only quantities needed to calculate the CPI in each year.

Year	Price of beef	Quantity of beef	Price of pork	Quantity of pork
2000	€2.00	100	€1.00	100
2001	2.50	90	0.90	120
2002	2.75	105	1.00	130

Refer to Figure 24-1. Suppose the base year is changed in the table from 2000 to 2002 (now use the 2002 consumption basket). What is the new value of the CPI in 2001?
a. 90.6
b. 100.0
c. none of these answers
d. 114.7
e. 134.3

ANSWER: A
POINTS: 1 / 1

_C_ 28. Suppose your income rises from €19,000 to €31,000 while the CPI rises from 122 to 169. Your standard of living has likely
a. fallen.
b. You can't tell without knowing the base year.
c. risen.
d. stayed the same.

ANSWER: C
POINTS: 1 / 1

_A_ 29. If the nominal interest rate is 7 percent and the inflation rate is 3 percent, then the real interest rate is
a. 4 percent.
b. 10 percent.
c. -4 percent.
d. 3 percent.
e. 21 percent.

ANSWER: A
POINTS: 1 / 1

_C_ 30. Which of the following statements is correct?
a. none of these answers
b. The nominal interest rate is the inflation rate minus the real interest rate.
c. The real interest rate is the nominal interest rate minus the inflation rate.
d. The nominal interest rate is the real interest rate minus the inflation rate.
e. The real interest rate is the sum of the nominal interest rate and the inflation rate.

ANSWER: C
POINTS: 1 / 1

_C_ 31. If inflation is 8 percent and the real interest rate is 3 percent, then the nominal interest rate must be
a. 3/8 percent.
b. 5 percent.
c. 11 percent.
d. 24 percent.
e. -5 percent.

ANSWER: C
POINTS: 1 / 1

_D_ 32. Under which of the following conditions would you prefer to be the lender?
a. The nominal rate of interest is 15 percent and the inflation rate is 14 percent.
b. The nominal rate of interest is 20 percent and the inflation rate is 25 percent.
c. The nominal rate of interest is 12 percent and the inflation rate is 9 percent.
d. The nominal rate of interest is 5 percent and the inflation rate is 1 percent.

ANSWER: D
POINTS: 1 / 1

_B_ 33. Under which of the following conditions would you prefer to be the borrower?
a. The nominal rate of interest is 12 percent and the inflation rate is 9 percent.
b. The nominal rate of interest is 20 percent and the inflation rate is 25 percent.
c. The nominal rate of interest is 5 percent and the inflation rate is 1 percent.
d. The nominal rate of interest is 15 percent and the inflation rate is 14 percent.

ANSWER: B
POINTS: 1 / 1

_D_ 34. If borrowers and lenders agree on a nominal interest rate and inflation turns out to be less than they had expected,
a. neither borrowers nor lenders will gain because the nominal interest rate has been fixed by contract.
b. none of these answers
c. borrowers will gain at the expense of lenders.
d. lenders will gain at the expense of borrowers.

ANSWER: D
POINTS: 1 / 1

_D_ 35. If workers and firms agree on an increase in wages based on their expectations of inflation and inflation turns out to be more than they expected,
a. none of these answers
b. workers will gain at the expense of firms.
c. neither workers nor firms will gain because the increase in wages is fixed in the labour agreement.
d. firms will gain at the expense of workers.

ANSWER: D
POINTS: 1 / 1

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